LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is E-Invoice Financing?

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Module 1: Theoretical Foundations and Product Philosophy

The Digital Trade Revolution. At the intersection of India's robust digital public infrastructure and trade finance sits a revolutionary product:

Historically, commercial credit in India was locked behind asset-heavy underwriting models. Exporters and domestic suppliers had to present physical land, machinery, or gold collateral to obtain simple working capital loans. This created a structural cash flow bottleneck, trap-housing over ₹20–25 Lakh Crore in static accounts receivables across the MSME supply chain, which contributes 30% of GDP and nearly half of national exports. The transition from physical paper invoicing to electronic ledger tracing represents the single most significant financial transformation of this decade.

E-Invoice Financing is an advanced supply chain finance programme that leverages the Indian government's mandatory GST Goods and Services Tax Network (GSTN) data. As of January 2026, any enterprise with an Aggregate Annual Turnover (AATO) exceeding ₹5 Crore in any preceding financial year from 2017-18 onwards is legally mandated to generate electronic invoices (e-invoices) for all B2B and export transactions. This is conducted through a government-authorized Invoice Registration Portal (IRP), which validates the underlying transaction metadata in real-time, returning a unique 64-character Invoice Reference Number (IRN) and a secure QR Code.

Under the provisions of Indian tax law, any invoice that fails to generate a valid IRN and QR code is considered invalid under GST guidelines. This means corporate buyers cannot claim Input Tax Credit (ITC) on un-registered invoices, and suppliers face severe penalties (up to 100% of tax due or ₹10,000 per default). E-Invoice Financing turns this strict regulatory obligation into a powerful credit catalyst. By integrating lenders directly with the GSTN portal via automated APIs, financial institutions can instantly verify invoice validity, trade legitimacy, and tax-compliance history within seconds of invoice issuance.

Furthermore, this product addresses the severe balance-sheet cash flow tussle that exists between small suppliers and large corporate buyers. A supplier always seeks to receive cash early to fund their raw material procurement and manufacturing cycles, whereas a corporate buyer aims to extend their Days Payable Outstanding (DPO) as much as possible to optimize corporate treasury. E-Invoice Financing acts as a confidence bridge, resolving this conflict by allowing the bank to make immediate post-shipment advance payments directly to the supplier's verified bank account based on the buyer's credit profile, while the buyer retains their extended payment usance terms (such as 90 days) before settling with the bank.

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Module 2: Structural Taxonomy and Comparative Analysis

Taxonomy of Trade Credit. To properly evaluate where E-Invoice Financing fits within the trade credit landscape, a trainee must understand the operational and accounting differences that separate domestic supply chain financing programmes. The table below outlines these distinctions on six primary axes:

Feature / Product	E-Invoice Financing	Traditional Invoice Discounting	Bilateral Factoring
Primary Security & Validation	Real-time GSTR-1, GSTR-2B, & IRP-validated IRN with QR Code via direct GSTN APIs.	Manual physical sales invoices, transport Lorry Receipts (LR), and paper delivery notes.	Legally assigned book debts and physical accounts receivables ledgers.
B2B Notification & Recourse	Disclosed or undisclosed; usually with recourse to seller unless routed on TReDS platform.	Undisclosed; seller maintains absolute buyer collection duties; always with recourse.	Fully disclosed; Factor manages the sales ledger and collections; recourse or non-recourse.
Onboarding & Limit Setup	Instant paperless digital journey; limit setup in less than 29 minutes via AI rule engines.	Time-consuming manual assessment of corporate balance sheets (weeks).	Lengthy tri-partite onboarding and legal charge creation frameworks.
Balance Sheet Treatment	Generally remains on balance sheet unless true-sale derecognition under Ind AS 109 is met.	Remains as a secured debt liability on the borrower's balance sheet.	Off-balance sheet treatment under non-recourse structures.

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Module 3: The End-to-End Operational Lifecycle and Digital Loops

The Transactional Flow. A standard E-Invoice Financing transaction operates across five distinct phases, fully integrating physical supply chain events with digital interbank messaging:

Step 1. 1. Phase I: Commercial Dispatch and E-Invoice Generation

The supplier sells goods or services to the corporate buyer. Using an integrated ERP software (such as TallyPrime), the seller bills the buyer. The software communicates directly with the government's Invoice Registration Portal (IRP) to instantly validate the data and generate a unique 64-character Invoice Reference Number (IRN) and a secure QR code. This electronic metadata is permanently stamped on the invoice.

Step 2. 2. Phase II: Digital Upload and Real-Time Verification

The supplier uploads the validated e-invoice metadata directly onto the bank's digital supply chain finance platform or the RBI-regulated TReDS platform. The financier's system automatically triggers API calls to the GSTN portal to reconcile GSTR-1, verifying the authenticity of the trade transaction, ensuring zero fake-invoicing or duplicate financing risk.

Step 3. 3. Phase III: Buyer Acceptance and Credit Rules Assessment

The corporate buyer reviews the uploaded invoice, cross-reconciling it with their internal Purchase Order (PO) and Goods Receipt Note (GRN) on their ERP system, recording their digital acceptance on the platform. The platform's automated business rule engine assesses the credit quality of the corporate buyer to price the interest rate.

Step 4. 4. Phase IV: Competitive Bidding and Funding Drawdown

Lenders place competitive bids. Once the lowest bidding rate is locked, the bank debits their treasury line and advances early cash (typically 80% to 90% of the invoice face value) directly into the supplier's bank account, with the remaining 10% to 20% held in a Margin Reserve Account. This entire workflow operates digitally and finishes within hours of invoice approval.

Step 5. 5. Phase V: Maturity Clearance and Margin Release

On the invoice usance maturity date (e.g., Day 90), the corporate buyer pays the bank 100% of the invoice value. Upon receipt of funds, the bank automatically releases the 10% margin reserve directly back to the supplier, closing the transaction ledger.

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Module 4: Underwriting Standards and Alternative Risk Assessment Models

Flow-Based Risk Underwriting. Modern digital underwriting represents a complete departure from lag-heavy balance sheet audits, substituting static indicators with continuous, real-time data flows. Underwriters focus heavily on transaction-backed credit risk metrics:

1. Promoter's Personal Credit Bureau Score (CIBIL): Must exceed a benchmark score of 700 to demonstrate robust promoter-level financial discipline.

2. CIBIL MSME Rank (CMR): The borrower must hold a rank of CMR 1 to CMR 4 to confirm low default probabilities.

3. GSTR-2B Input Tax Credit Matching: Lenders utilize real-time automated API integrations with the GSTN to verify GSTR-1 (sales) and GSTR-3B (tax filings) of both the buyer and the supplier. Verify that the corporate buyer has actively acknowledged the invoice in their tax ledger for claiming Input Tax Credit. This cross-matching serves as an absolute, tamper-proof notary of real-world trade, completely eliminating fake invoicing.

4. Account Aggregator current account analytics: Integrating with the RBI's licensed Account Aggregator framework allows underwriters to run continuous cash flow audits on the seller's active current accounts. This monitors real-time sales velocity, average balance margins, and early warning debt-repayment stress.

5. Historical Invoice Dilution Audits: The lender evaluates historical commercial returns, credit notes, and post-sale discounts to establish an invoice dilution cap (<2.50%). The financier applies a safety multiplier (typically 2.0x) to this historical dilution rate when structuring the advanced margin haircut, protecting the bank's principal from trade-level disputes.

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Module 5: Legal Security, Charge Creation and Statutory Registrations

Receivables Assignment & Senior Lien. A structured E-Invoice Financing facility relies on a watertight legal architecture to secure the financier's lien over the underlying trade receivables:

- Transfer of Property Act, 1882 (Section 130): Trade receivables (book debts) are assigned as 'actionable claims' from the supplier to the bank through a formal, stamp-duty-exempt Deed of Assignment.
- Notice of Assignment (NoA): The supplier stamps a formal Notice of Assignment directly on the face of all financed e-invoices. This contractually establishes that the buyer is legally obligated to route the payment on maturity strictly to the financier's designated bank account or escrow account, and that any payment made to other parties does not constitute a valid legal discharge of the debt.
- The Non-Dispute Covenant: Under the tri-partite agreement, the corporate buyer executes a waiver of set-off and counter-claim. Once the buyer digitally accepts the invoice on the financing platform, they are legally barred from withholding payments due to downstream product defects, quality issues, or transit delays. Trade-level disputes must be resolved separately between the buyer and supplier, preserving the financier's absolute repayment rights on maturity.
- Mandatory CERSAI Registration: Under the Factoring Regulation Act, 2011 (with the landmark 2021 Amendments), all factoring and receivables assignment charges must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within a strict 10-day statutory window. Integrating financing portals with the GSTN and CERSAI ensures real-time public filing of charge creation and satisfaction, completely preventing the risk of dual-invoice financing fraud.
- Tata Capital Master Terms & Conditions: The document incorporates standard covenants from Tata Capital's institutional-grade master agreements, detailing conditions precedent such as the requirement of Section 281(1)(ii) tax clearance certificates, clear GSTR-1 filing records, and absolute hypothecation of all present and future book debts of the borrower.

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Module 6: Sectoral Sizing, Target Industries and TReDS Integrations

Ecosystem Market Sizing. E-Invoice Financing is exceptionally suited for high-growth, asset-light, and fast-moving industrial supply chains characterized by complex procurement structures and consolidated dealer-retailer networks:

1. Automotive & Heavy Engineering: Large Original Equipment Manufacturers (OEMs) rely on thousands of small tier-2 and tier-3 component manufacturers. These small units require continuous raw material purchases (steel, aluminum). E-Invoice Financing provides immediate liquidity against accepted OEM bills, keeping assembly lines moving.

2. Consumer Electronics under the PLI Framework: Indian manufacturers are rapidly scaling assembly operations under the Electronic Vision 2030 PLI (Production Linked Incentive) scheme. These units buy display panels or chipsets from international suppliers on tight payment timelines. Drawing down funds against e-invoices secures raw materials on time, matching high inventory turnovers.

3. Fast-Moving Consumer Goods (FMCG) and Retail Traders: According to commercial credit database audits, Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers in India (specifically within the ₹10 Lakh to ₹2 Crore exposure segment). This massive segment relies heavily on invoice discounting to maintain high stocking velocity.

The State Bank of India (SBI), as the nation's premier public lender, has built a dominant presence in this space. Citing SBI's annual reports, the bank manages massive digital supply chain financing portfolios—including its flagship Electronic Dealer Financing Scheme (e-DFS) with active limits exceeding ₹49,261 Crores and its Electronic Vendor Financing Scheme (e-VFS) holding outstanding limits of ₹28,092 Crores. Private banks (ICICI Bank, Axis Bank, HDFC Bank) increasingly deploy digital supply chain finance platforms (such as ICICI's DigitalLite) that leverage GSTR-2B API matching to automate limit setup in less than 29 minutes.

Furthermore, the Ministry of MSME has driven rapid institutional adoption of the Trade Receivables Discounting System (TReDS) platforms (RXIL, M1xchange, Invoicemart). The 2018 government mandate legally forced all Central Public Sector Undertakings (CPSUs) and private corporates with an annual turnover exceeding ₹500 Crores to onboard onto TReDS. To further expand MSME access, the government has lowered this threshold to ₹250 Crores, legally forcing all qualifying corporates to integrate their procurement systems with TReDS.

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Module 7: Commercial Pricing Mechanics and Treasury Yield Models

The Economics of Trade Credit. Understanding the underlying pricing structure and corporate cash flows is vital to evaluating the ROI of an E-Invoice Financing facility. Lenders do not price this product against a flat corporate interest rate; instead, pricing is mapped to the buyer's credit profile:

- Daily Reducing Balance Interest: Interest is computed strictly on a daily reducing balance basis on advanced funds, aligning borrowing costs directly with actual cash usage.
- Pricing Benchmark: Aligned with the Reserve Bank of India's EBLR (External Benchmark Lending Rate) or repo benchmarks for domestic rupee-denominated lines, typically ranging between 7.50% and 11.50% per annum depending on the buyer's credit rating.
- Upfront Processing and Administrative Fees: Banks charge a small upfront transaction fee (ranging between 0.10% and 0.50% of the limit value) to cover platform maintenance, digital onboarding, and GSTR validation.
- Goods and Services Tax (GST) Treatment: Under Indian tax guidelines, any interest or discounting components paid to banks or NBFCs are completely exempt from GST. However, administrative charges, such as upfront processing fees, documentation charges, and platform commissions, are treated as taxable services and attract GST at the standard rate of 18%. This tax component qualifies for standard corporate Input Tax Credit (ITC).
- Corporate Interest Tax Shield: Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest expenses incurred strictly for business operations are fully deductible from corporate taxable profits. For a company taxed at the standard corporate tax rate of 25.17%, this interest tax deduction yields an immediate tax shield, reducing the effective after-tax cost of financing significantly.

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Module 8: Regulatory Compliance, Asset Classification and Digital Lending Guidelines

Regulatory Compliance & Asset Classification. A structured E-Invoice Financing program must operate in strict compliance with the Reserve Bank of India's extensive regulatory guidelines:

1. RBI IRACP Guidelines (Special Mention Accounts & NPAs): Under standard Income Recognition, Asset Classification, and Provisioning (IRACP) norms, any revolving or transaction-based credit line is classified as a Non-Performing Asset (NPA) if any individual transaction, bill, or interest charge remains overdue past a strict 90-day window from its usance maturity. To track early distress, banks utilize Special Mention Account classifications: SMA-0 (overdue up to 30 days), SMA-1 (overdue 31 to 60 days), and SMA-2 (overdue 61 to 90 days).

2. The 180-Day Technical NPA Trigger: If an E-Invoice financing account is not formally reviewed or renewed within 180 days of its scheduled annual expiry, or if the borrower's stock and debtors statements are delayed past 180 days, the entire account is automatically classified as a technical NPA, regardless of whether there are active payment defaults.

3. RBI Digital Lending Directions: When programs are delivered through digital Supply Chain Finance (SCF) platforms, they must comply with the Digital Lending Directions: (a) Default Loss Guarantee (DLG) Limit: Any risk-sharing or first-loss guarantee arrangement between the fintech platform and the bank is capped at a strict 5% of the total loan portfolio value; (b) Direct Disbursal Mandate: Funds must flow directly from the bank's account to the supplier's verified bank account, with zero pass-through via intermediate pool accounts; (c) Data Sovereignty: All borrower data, transaction records, and trade histories must be stored on local servers located inside the sovereign boundaries of India.

4. RBI Current Account Guidelines: To prevent credit diversion, the RBI enforces strict rules on opening current accounts and collections escrow accounts based on the borrower's total banking system exposure. If system exposure is ₹50 Crore or more, the borrower must route all collection sweeps through a dedicated Escrow Account managed by the lead lender.

5. Accounting Disclosures Under Ind AS: Under Ind AS 109, 7, and 107, corporate entities must disclose detailed qualitative and quantitative metadata regarding their supplier finance arrangements, including total liabilities outstanding, key credit covenants, and balance sheet classifications (disclosing whether liabilities are classified as trade payables or bank debt).

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Module 9: Comprehensive Real-World Case Study (Mumbai Packaging)

Case Study Parameters. This chapter presents a fully worked, step-by-step mathematical scenario modeling raw material margins, bank processing fees, GST, daily reducing balance interest, and post-tax shields in Indian Rupees.

Mumbai Packaging Solutions Pvt. Ltd. (MPSPL) is a mid-sized paper-packaging manufacturer taxed at the standard corporate rate of 25.17%. MPSPL supplies bulk packaging cartons to a large, AAA-rated FMCG corporate anchor (Apex Consumer Goods India Ltd.) and has Aggregate Annual Turnover (AATO) exceeding ₹10 Crore, legally subjecting it to the mandatory 30-day IRP reporting window.

MPSPL raises a B2B sales invoice on Apex for ₹1,00,00,000 (₹1 Crore) on a 90-day usance basis. MPSPL generates a valid IRN and QR code via TallyPrime within 24 hours of shipment. Apex digitally accepts the invoice on the bank's SCF platform. The bank agrees to discount the accepted e-invoice at an 85% advance rate (applying a 15% safety margin based on a 7.5% nominal interest rate p.a.).

1. Invoice Face Value: ₹1,00,00,000 (₹1 Crore)

2. Advanced Principal (85%): ₹85,00,000

3. Required Margin Reserve (15%): ₹15,00,000 (held by the bank; released on Day 90)

4. 90-Day Nominal Interest Cost: ₹1,57,191.78

Interest = ₹85,00,000 × 7.50% × 90 / 365 = ₹1,57,191.78 (GST-exempt)

5. Upfront Bank Processing Fee & GST (18%): ₹20,060

Processing Fee (0.20% of limit) = ₹17,000; GST (18% on fee) = ₹3,060. Total = ₹20,060. Note: The ₹3,060 GST component qualifies for standard corporate Input Tax Credit (ITC).

6. Net Upfront Disbursed Payout on Day 1: ₹83,22,748.22

Net Disbursal = ₹85,00,000 (principal) - ₹1,57,191.78 (interest) - ₹20,060 (fees + GST) = ₹83,22,748.22

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7. Effective After-Tax Cost of Financing (Post-Tax Shield @ 25.17%): ₹1,17,626.61

Interest Shield Benefit = ₹1,57,191.78 × 25.17% = ₹39,565.17
Effective Net Financing Cost = ₹1,57,191.78 - ₹39,565.17 = ₹1,17,626.61
Effective Annualized After-Tax Borrowing Rate = 5.61% p.a.

By utilizing E-Invoice Financing to access ₹83 Lakhs in immediate liquid cash on Day 1, MPSPL secures a 2.0% cash discount on their raw paperboard purchases, saving ₹1,66,455. This tactical treasury optimization yields a net risk-free cash savings of +₹48,828 on a single transaction cycle, with zero physical fixed collateral requirements!

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Module 10: 10-Question Certification Examination

Module 10.1: Question 1 (The Aggregate Annual Turnover Mandate)

What is the Aggregate Annual Turnover (AATO) threshold above which generating electronic invoices (e-invoices) through the government-authorized IRP is legally mandatory for B2B transactions in India?

A) AATO exceeding ₹5 Crore in any preceding financial year from 2017-18 onwards.

B) AATO exceeding ₹100 Crore p.a.

C) AATO exceeding ₹10 Crore specifically in the current fiscal year.

D) AATO exceeding ₹250 Crore under Priority Sector Lending requirements.

★ *Correct Option: A. Rationale & Analysis: Under the current Indian e-invoicing guidelines, any business with an Aggregate Annual Turnover exceeding ₹5 Crore in any preceding financial year from 2017-18 onwards must generate e-invoices with valid IRNs and QR codes, or the invoice becomes legally invalid under GST law.*

Module 10.2: Question 2 (The 30-Day Reporting Rule)

For businesses with an Aggregate Annual Turnover (AATO) of ₹10 Crore and above, what is the strict time limit for report invoices to the IRP to get a valid IRN?

A) Within 24 hours of invoice date.

B) Within 7 business days of shipping.

C) Within 30 days of the invoice date of issuance.

D) There is no reporting time limit, provided GSTR-1 is filed monthly.

★ *Correct Option: C. Rationale & Analysis: Taxpayers with an AATO of ₹10 Crore and above face a strict 30-day reporting window from the invoice date, beyond which the IRP portal will reject any attempt to generate a valid IRN.*

Module 10.3: Question 3 (The GSTR-2B Verification)

Why is real-time automated API integration with the GSTR-2B tax ledger critical during underwriting of an E-Invoice Financing transaction?

A) To calculate the promoter's corporate depreciation tax shield benefits under Section 36(1)(iii).

B) To verify that the corporate buyer has actively acknowledged the invoice in their tax ledger for claiming Input Tax Credit, confirming trade legitimacy.

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C) To automatically file the E-Way bill with regional customs.

D) To calculate the stamp-duty exemption rates under the Factoring Act.

★ *Correct Option: B. Rationale & Analysis: Real-time GSTR-2B integration verifies that the corporate buyer has acknowledged the invoice in their tax ledger for claiming ITC, serving as a tamper-proof notary of real-world trade and eliminating fake invoicing.*

Module 10.4: Question 4 (The CERSAI Registration Window)

Under the Factoring Regulation Act, 2011 (with the 2021 Amendments), what is the statutory window within which a receivables financier must register assignment charges with CERSAI?

A) Within 10 days of the transaction.

B) Within 30 days of limit approval.

C) Within 90 days of usance maturity.

D) Excluded from CERSAI, provided the transaction is routed via a digital LSP.

★ *Correct Option: A. Rationale & Analysis: Under the 2021 Amendments, the statutory window for registering factoring and receivables assignment charges with CERSAI is restricted to a tight 10-day window to eliminate the risk of duplicate invoice pledging.*

Module 10.5: Question 5 (The 180-Day Technical NPA Trigger)

Under the RBI's guidelines on Special Mention Accounts and asset classification, when is an E-Invoice Financing line classified as a technical NPA?

A) If stock and debtors statements are delayed past 90 days.

B) If the borrower fails to pay interest charges for 30 consecutive days.

C) If the account is not formally reviewed or renewed within 180 days of its scheduled expiry.

D) If the corporate buyer's credit rating falls to BBB-.

★ *Correct Option: C. Rationale & Analysis: Under RBI rules, an account is classified as a technical NPA if it is not formally reviewed or renewed within 180 days of its scheduled annual expiry, regardless of whether there are payment defaults.*

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Module 10.6: Question 6 (The RBI Digital Lending DLG Cap)

Under the RBI's Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements between a fintech platform (LSP) and a regulated lending bank?

A) Capped at a strict 5% of the total loan portfolio value.

B) Capped at 15% of the net outstanding asset-backed exposures.

C) Capped at 25% of the average aggregate drawing power.

D) DLG arrangements are completely prohibited under Priority Sector Lending.

★ *Correct Option: A. Rationale & Analysis: To prevent systemic under-the-radar credit risk transfers, the RBI caps any risk-sharing or first-loss guarantee arrangement between a fintech platform and a bank at a strict 5% of the total loan portfolio.*

Module 10.7: Question 7 (GST Treatment of Fees & Interest)

Under Indian GST guidelines, how are interest/discount charges and bank processing fees treated for tax purposes during E-Invoice Financing?

A) Both interest and processing fees are subject to 18% GST.

B) Both interest and processing fees are completely GST-exempt.

C) Upfront service fees attract the standard 18% GST rate, while the core interest/discount component is completely GST-exempt.

D) Interest attracts 5% GST, while processing fees are tax-free under agricultural trade incentives.

★ *Correct Option: C. Rationale & Analysis: Under the Central Goods and Services Tax Act, interest or discount components paid to banks or NBFCs are completely GST-exempt. However, upfront service fees (such as processing and arrangement fees) are treated as taxable services and attract standard 18% GST.*

Module 10.8: Question 8 (Tax Shield Calculations)

A corporate borrower taxed at the standard corporate rate of 25.17% incurs an annual interest expense of ₹1,00,000. Under Section 36(1)(iii) of the Income Tax Act, 1961, what is the value of the tax shield benefit and the effective after-tax cost of borrowing?

A) Tax shield of ₹25,170; effective cost of ₹74,830.

B) Tax shield of ₹10,000; effective cost of ₹90,000.

C) Tax shield of ₹0; effective cost remains ₹1,00,00,000.

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D) Interest is subject to 18% GST, raising the effective cost to ₹1,18,000.

★ *Correct Option: A. Rationale & Analysis: Under Section 36(1)(iii), interest expenses are fully deductible from taxable profits. For a company taxed at 25.17%, the tax shield is ₹25,170 (₹1,00,00,000 × 25.17%), reducing the effective after-tax cost of borrowing to ₹74,830.*

Module 10.9: Question 9 (The Interest Equalization Scheme Status)

What is the status and rate of the Interest Equalization Scheme (IES) subvention for export credit in the fiscal year 2025-26?

A) Active at a 3% subvention rate for all MSME manufacturers.

B) Active at a 5% subvention rate specifically for agri-commodity exporters.

C) The scheme officially lapsed on December 31, 2024, and was NOT renewed in the Union Budget.

D) Managed directly by ECGC as a 90% trade credit insurance scheme.

★ *Correct Option: C. Rationale & Analysis: The Interest Equalization Scheme (IES) officially lapsed on December 31, 2024, and was not renewed in the Union Budget of 2025 or 2026. This is a common exam trap for promo tests.*

Module 10.10: Question 10 (The TReDS Turnover Threshold Mandate)

The Ministry of MSME mandated that all Central Public Sector Undertakings (CPSUs) and private corporate buyers with a turnover exceeding a certain threshold must onboard onto a TReDS platform (RXIL, M1xchange, Invoicemart). What is this turnover threshold?

A) Turnover exceeding ₹50 Crores.

B) Turnover exceeding ₹250 Crores.

C) Turnover exceeding ₹500 Crores.

D) Turnover exceeding ₹1,00,000.

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★ Correct Option: B. Rationale & Analysis: To address delayed payments for small businesses, the Ministry of MSME lowered the turnover threshold legally forcing CPSUs and private corporates to onboard onto a TReDS platform from ₹500 Crores down to ₹250 Crores.

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